

Olevel economics

Money and Banking

Spending, saving and Borrowing

alpha

By:-

Zarak
mustaq



Money :- It can be defined as anything that is widely and generally accepted and exchanged for goods and services.



Forms of money :- Notes, coins, bank account and deposits

Earlier :- Barter was used (Exchange of products)



Issue of Double coincidence of wants (It required two people making a trade to want and be willing to exchange what the other had to offer).

'Functions of money'

Medium of exchange :- Money is used as a way to make payments for a product, because it is generally accepted as a means of payment for goods/services.

Unit of account / measure of value :- The price of a product can be measured in terms of how many units of a currency it is worth.

Store of value / wealth :- Money can be saved because it keeps its value to a larger extent (depending on the rate of inflation); saving enables the use of money in future.

Standard of deferred payments :- Borrowers are able to borrow money and pay it back at a later date; payment can therefore be spread over a period of time, encouraging the use of credit and the expansion of trade.

Characteristics of money

Acceptability :- Money has to be generally acceptable in an economy if it is going to be used as a means of buying and selling different products.

Portability :- Money needs to be relatively easy for people to carry around if it going to perform its function effectively

Scarcity :- Money has to be relatively scarce if its going to keep its value; otherwise it will become worthless.

Recognisability :- Money needs to be recognised if people are to retain confidence

Stability of value :- Money needs to be stable in value over a period of time if people are going to have confidence in using it.

Divisibility :- It must be possible to divide money into smaller parts, called denominations.

Durability :- Money needs to be relatively hard-wearing over time.

Marks :- 20

Questions

Q1 Define money ? 2

Q2 State 2 forms of money ? 2

Q3 What is 'double coincidence of wants' ? 2

Q4 Explain 4 functions of money ? 8

Q5 Explain 3 characteristics of money ? 6

Banking

Central banks

Each country has a central bank responsible for supervising and regulating the banking and financial system in that country.

Functions :-

o Establishment of financial rules and regulations :-

A central bank creates rules and regulations to supervise and regulate the banking and financial system, e.g. rules that relate to the setting up of a new bank in a country.

o Issues notes and coins :-

It issues the notes and coins that are used in a country and establishes legal tender in relation to them, that is, rules on the acceptance of notes and coins as payment.

o Sets interest rates :-

A central bank will set the main interest rate in an economy. This will affect how much money is borrowed. If a central bank wants to encourage borrowing

and spending, it will reduce the interest rate. If it wants to discourage borrowing and spending, it will increase interest rate.

◦ Lender of last resort :-

If a commercial bank is in need of funds, the central bank can lend it money as a last resort. In this way, a central bank can help a commercial bank when it needs money.

◦ Supervises monetary policy :-

One part of monetary policy is the price of money and a central bank can supervise this through the setting of the interest rate in an economy. Another part of monetary policy is the quantity of money in an economy at any given time and a central bank is also able to control this.

◦ Banker for the commercial banks :-

A central bank act as a banker for the commercial banks e.g. each of the commercial banks will have accounts at the central bank through which their debts with each other can be settled.

◦ Participation in international financial meetings :-

A number of financial meetings take place at the international level and

representatives of central banks take part in such meetings.

o Banker for the Government :-

A central bank acts as a banker for a government, e.g. a government will have accounts with a central bank and its revenue and expenditure will be carried out through these accounts.

o Control of lending :-

A central bank can influence the amount of lending in an economy, e.g. it can encourage lending to stimulate an economy and discourage lending when prices are rising too quickly.

o Management of the national debt :-

Every government borrows money over a period of time and the total amount of debt is called the national debt. The central bank will manage the debt on behalf of a government.

Commercial banks

A central bank is usually owned by the government of a country, but commercial banks (or retail banks as they are sometimes called) are usually (but not always) in the private sector. Commercial banks provide a variety of services to businesses and households.

A commercial bank act as a financial intermediary, linking savers and borrowers.

↓
Savers and depositors save and deposit money

↓
Bank act as intermediaries

↓
lend money to households and businesses

Functions :-

- Provision of current accounts :- A current account is an every day account into which money can be paid and out of which payments can be made. Such an account will often have a debit card attached to it, facilitating access to cash and making payments easier.
- Provision of saving accounts :- In addition to a current account, which is usually not pay any interest on deposits, a commercial bank can offer a variety of saving accounts that enable customers to save over a period of time.
- Lending :- Commercial banks can lend money in a variety of different forms, including a loan, an overdraft and a mortgage. They can also issue a credit card to customers to enable them to borrow money.
- Keeping money and documents safe :- A commercial bank can keep the money and important legal documents of individuals and businesses safe.
- A means of making payments :- Commercial bank can provide a number of different ways to make payments, such as through a cheque, a banker's draft, a standing order or a direct debit.

- * Banker's draft :- large sums of money involved
- * Standing order :- Fixed amount of money
- * Direct debit :- Variable amount of money

- o Provision of foreign currency :- Commercial banks can obtain foreign currency for their customers to enable them to buy goods and services when they are abroad.
- o Provision of financial advice :- Commercial banks can also provide their customers with financial advice on a range of matters, such as in relation to a will or to purchase of shares in companies.
- o Working with the government :- Commercial banks work very closely with the government, especially in terms of the level of bank lending.

marks :- 16

Questions

Q1 Explain any 4 functions of Central bank? 8

Q2 Explain any 4 functions of commercial bank? 8

alpha

Spending, Saving and Borrowing

Define

Spending :- Spending refers to the exchange of money for goods and services. It can also be referred to as consumption expenditure. The products may be for immediate consumption e.g. food or they may be consumer durables that will last for a relatively long time e.g. a television.

Saving :- Money that is not spent is saved, put aside to finance the purchase of something in the future.

Borrowing :- Borrowing is when an individual receives money from another individual or from an organization, such as financial institution, with the intention of paying it back, usually with additional interest to be paid.

Influences | Reasons | Motives

Spending :- Some money is spent on essential items e.g. basic food items. These can be regarded as needs. Other money is spent on less essential or non essential products that can be regarded as wants e.g. new computer game. **Spending on consumer durables enables a person to build up a stock of wealth.** The main influence on spending is income - the more income people have, the more they are able to spend. **This is certainly true of normal goods, but not of inferior goods.** **Spending patterns can be influenced by advertising campaigns.**

Saving :- The main motive for saving is to put money aside to be able to make a purchase at a later date, e.g. to pay for a holiday. A major influence on saving is the rate of interest that financial institutions pay on money deposited in savings accounts with them. **The proportion of income that is saved is called the savings ratio**

Borrowing :- An important motive for borrowing money is to be able to spend more than you receive in income in order to meet your wants and needs. This is especially the case with the purchase of relatively expensive items, e.g. car. **The rate of interest again an important influence as people will generally be more inclined**

to borrow money when the rate of interest is relatively low and be less inclined when it is high. Another influence on borrowing is the confidence of the borrowers to be able to pay back the money borrowed, plus interest, at some point in the future.

Differences in spending, saving and borrowing between different households

Size of income	Spending	Saving	Borrowing
High income households	Unlikely to spend all of their income	Able to save a lot of their income	Unlikely to need to borrow money
Middle-income households	likely to spend most of their income	may be able to save a little	Probably need to borrow some money
Low income households	likely to spend all of their income and this may not even cover all of their needs, let alone their wants	Unlikely to be able to save	Will certainly need to borrow, but will find difficult to borrow. Lenders will charge higher interest rate

marks : 22

Questions

- Q1 Define spending, saving and borrowing? 6
- Q2 Explain the motives of spending, saving and borrowing? 8
- Q3 Explain the differences in spending, saving and borrowing between different households? 8